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JUN 23 2026
LA Public Service Commission

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June 23, 2026

12922-0598

VIA HAND DELIVERY

Mr. Brandon M. Frey
Executive Secretary
Louisiana Public Service Commission
Galvez Building
602 North Fifth Street, 12th Floor
Baton Rouge, LA 70802

ROUTE TO / ROUTE FROM
DEPT. Bull DATE 6/23 DEPT.
DEPT. DATE DEPT.

Re: Docket No. U-_____, Cleco Power LLC, Ex Parte: Application of Cleco Power LLC for (1) Implementation of Changes in Rates to be Effective July 1, 2027; (2) New 2027 Formula Rate Plan; and (3) Expedited Treatment.

Dear Mr. Frey:

On behalf of Cleco Power LLC ("Cleco Power"), enclosed are one (1) original and three (3) copies of the captioned Application.

Cleco Power is requesting implementation of changes in its rates and of a proposed new 2027 Formula Rate Plan, which are more particularly described in the Application and accompanying testimony. The 2027 Formula Rate Plan builds upon and modernizes Cleco Power's current Third Amended and Restated Formula Rate Plan, which was authorized in Cleco Power's prior rate case by Order No. U-36923, issued July 17, 2024.

Further, this Application will be followed shortly by another application of Cleco Power related to a large, new data center customer. Cleco Power's data center application will contain ratemaking and deferral requests that would need to be evaluated in light of the Commission's determinations in this proceeding.

Cleco Power's Application qualifies as a "change in rates" under Article IV, Section 21(D)(1) of the Louisiana Constitution, and is therefore subject to the public notice requirements specified therein. Accordingly, Cleco Power will effectuate such publication within twenty days after Cleco Power's Application is filed, and will provide the Commission with an affidavit of publication evidencing the same.

Further enclosed, in a sealed envelope marked "Confidential" is Exhibit CCM-6 to the Direct Testimony of Christina C. McDowell. Exhibit CCM-6 contains trade secret, proprietary, and other confidential information, and we request that it be treated as exempt from public disclosure pursuant to Rule 12.1 of the Commission's Rules of Practice and Procedure.

Also enclosed is Cleco Power's $50.00 filing fee, as required in Exhibit B to the Commission's Rules of Practice and Procedure.

Please return one (1) file-stamped copy of the Application to us.

If you have any questions, or require any additional information whatsoever, please do not hesitate to contact us.

Respectfully submitted,

Nathan G. Huntwork

Counsel for Cleco Power LLC

NGH:CB:
Enclosures

cc: Mark Kleehammer (via e-mail)
Christina C. McDowell (via e-mail)
Daniel T. Pancamo
John O. Shirley
Collin Buisson

RECEIVED
JUN 23 2026
LA Public Service Commission

BEFORE THE LOUISIANA PUBLIC SERVICE COMMISSION

EX PARTE:	)	
APPLICATION OF CLECO	)	
POWER LLC FOR: (1)	)	
IMPLEMENTATION OF	)	DOCKET NO. U-_____
CHANGES IN RATES TO BE	)	
EFFECTIVE JULY 1, 2027; (2)	)	
NEW 2027 FORMULA RATE	)	
PLAN; AND (3) EXPEDITED	)	
TREATMENT	)	

TABLE OF CONTENTS

I. INTRODUCTION AND SUMMARY 1

II. BACKGROUND FOR RATE CASE AND CLECO POWER'S FUTURE 6

III. DESCRIPTION OF CLECO POWER 7

IV. COMMUNICATIONS 8

V. THE NEED FOR A BASE RATE INCREASE AND CLECO POWER'S PROPOSED MITIGATION 9

A. Cost Pressures 11

B. Cleco Power's Proposed Mitigation 12

VI. CLECO POWER'S OTHER MATERIAL RATEMAKING REQUESTS 13

A. History of Cleco Power's Current Third Amended and Restated Formula Rate Plan 13

B. Proposed 2027 FRP 14

1. ROE 19

2. Credit Ratings and Proposed Capital Structure 20

C. Residential Rate Decoupling 21

D. Rate Structure Changes 22

VII. REQUEST FOR TIMELY TREATMENT 22

VIII. CLECO POWER'S REQUESTS TO THE COMMISSION 23

I. INTRODUCTION AND SUMMARY

NOW BEFORE THE COMMISSION COMES Cleco Power LLC ("Cleco Power" or the "Company"), which hereby requests that the Louisiana Public Service Commission ("LPSC" or the "Commission") grant the following rate relief, authorizations, determinations, or findings: (i) authorization of Cleco Power's requested new base revenues amount; (ii) authorization of Cleco Power's proposed rate structure changes in various of the Company's retail rate schedules; (iii) authorization of the proposed 2027 Formula Rate Plan ("2027 FRP") that would be the successor to Cleco Power's Third Amended and Restated Formula Rate Plan, which will end June 30, 2027 (with further mechanics if new base rates are not in place by that date);[1] (iv) authorization to implement the proposed Rider FRP Rider in conjunction with the 2027 FRP; and (v) authorization and establishment of new base rates and Infrastructure and Incremental Cost Recovery ("IICR") Rider rate schedules based on the rate base and expenses in the historical test year for the twelve months ending ("TME") June 30, 2025, with a limited number of known and measurable pro forma adjustments projected through the TME June 30, 2028. The foregoing requests are addressed in comprehensive detail in the testimony of Cleco Power's witnesses in this proceeding.

As reflected in the testimony, Cleco Power's rate case filing in this proceeding comes at a critical juncture in the Company's development and operations. With the support of the Commission, Cleco Power has the opportunity to continue delivering meaningful value to its customers while positioning its system to respond to increasing operational complexity, evolving regulatory requirements, and long-term infrastructure needs. The Company's strategic focus remains on maintaining reliable service, managing costs where reasonably possible, improving

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[1] The Commission authorized Cleco Power's Third Amended and Restated Formula Rate Plan in LPSC Order No. U-36923, issued July 17, 2024 (the "2024 Rate Order").

operational efficiency, and investing in infrastructure and technology necessary to serve its customers safely and effectively now and well into the future.

At the same time, Cleco Power notes two developments that further underscore the importance of maintaining a stable and constructive regulatory framework, each of which will be addressed in separate proceedings before the Commission. First, the Company has entered into an Electric Service Agreement and related arrangements to serve a new hyperscale data center in Rapides Parish.[2] Second, Cleco Power's parent company is the subject of a proposed change in ownership and control, pursuant to which Pine JV Holdings LLC, an investor consortium comprised of Stonepeak Partners LP and Bernhard Capital Partners, has agreed to acquire Cleco Group LLC.[3] The proposed change in ownership and control transaction will not affect Cleco Power's rates or the ratemaking determinations requested in this docket. Cleco Power's proposed rate changes in this proceeding are based on actual historic test year data and known and measurable changes, and the proposed change in ownership has had no impact whatsoever on these inputs. Cleco Power's requests in this proceeding have been made without regard to the proposed change in ownership, and the requests and would not change in any way were the Commission to reject the change in ownership. Both the data center development and the proposed change in ownership and control are being advanced independently of this rate case and do not alter the Company's cost-of-service showing or the relief requested herein.

Importantly, Cleco Power has taken concrete steps to control costs and improve operations even as external pressures have increased. For example, the Company has modernized its

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[2] The aforementioned data center is expected to represent approximately 430 MW of additional load and is anticipated to begin taking electric service in mid-2027, subject to Commission approval in a forthcoming application (the "Data Center Application").

[3] *See* LPSC Docket No. U-37963; *In Re: Joint Application of Cleco Power LLC and Pine JV Holdings LLC for Authorization for the Change of Ownership and Control of Cleco Power LLC.*

enterprise systems through its SAP (System Applications and Products in Data Processing) platform and is currently implementing a major upgrade and migration project to SAP RISE on Microsoft Azure, representing approximately $31 million in capital investment and $3.2 million in associated incremental annual costs, which includes software licensing, hosting, maintenance, and support services. These investments are anticipated to enhance system resiliency, cybersecurity, and operational efficiency, including real-time data capabilities that improve outage response, billing accuracy, and asset management. At the same time, the Company has implemented ongoing transmission and distribution enhancements, vegetation management programs, and system resiliency measures designed to reduce service interruptions and improve reliability during extreme weather events, which are unfortunately becoming more common and more severe in Cleco Power's service territory.

However, these operational improvements have been accompanied by significant and largely uncontrollable increases in the cost of providing service. As reflected in the Company's 2025 Depreciation Study (as defined in the Direct Testimony of Cleco Power witness Samuel Kennedy), Cleco Power is experiencing an approximately $35.7 million annual increase in depreciation expense, driven in large part by shortened asset lives for key generation resources, including Madison Unit 3. Similarly, the Company continues to incur elevated storm-related costs requiring sustainable reserve funding, is subject to higher property tax obligations following the expiration of prior exemptions, and, as described above, must invest in cybersecurity and information technology ("IT") infrastructure to protect critical systems. These cost pressures have developed despite the Company's continued focus on cost discipline and efficient operations.

While Cleco Power recently achieved its allowed return on equity ("ROE") of 9.7% for the TME June 30, 2025, this performance reflects temporary factors, including weather conditions that

tend to increase usage and temporary, episodic increases in demand associated with customer-side generation conditions. The Company anticipates downward pressure on earnings in subsequent periods due to increased rate base, rising depreciation expense, and higher operating costs. Without appropriate rate relief and a modernized ratemaking framework, these pressures could continue to erode the Company's financial performance.

In response, Cleco Power is proposing ratemaking changes that would moderate the timing and magnitude of rate impacts while ensuring recovery of prudently-incurred costs. The Company proposes in its 2027 FRP a new framework that incorporates a symmetrical earnings test centered on a proposed 10.70% ROE midpoint, with a +/- 30 basis point deadband (*i.e.*, 10.40% – 11.00%), and utilizes two complementary mechanisms: (i) Rider IICR for annual recovery of infrastructure and incremental costs effective each July 1, and (ii) a proposed new Rider FRP for earnings-based adjustments effective each February 1 following Commission review. The Company anticipates that this approach will create two predictable adjustment periods each year, aligning revenue recovery more closely with actual cost and performance outcomes, while avoiding abrupt rate changes.

In summary, while Cleco Power's underlying cost drivers reflect a material increase in its revenue requirement, including for example the $35.7 million depreciation adjustment and substantial IT and resiliency investments, the Company is proposing a measured and disciplined framework to manage these impacts over time. By utilizing the proposed 2027 FRP structure, including its symmetrical earnings test, defined deadband, and phased rate adjustments through Rider FRP and Rider IICR, Cleco Power's proposals would ensure that rate changes occur incrementally when warranted, will be based on actual results, and will be subject to Commission

oversight. This approach balances customer affordability with the Company's obligation to maintain financial integrity, support continued investment, and provide safe, reliable service.

Cleco Power's requests in this proceeding are supported by the direct testimony of the following witnesses addressing the topics noted, below:

- William Fontenot: provides an overview of Cleco Power's requests in this proceeding and describes Cleco Power's past, present, and future.
- Christina C. McDowell: provides support for the Company's revenue requirement, including test year adjustments, depreciation impacts, and the design and operation of the proposed 2027 FRP.
- D. Andrew Owens: explains the structure and policy rationale underlying the proposed new 2027 FRP framework, including the introduction of a symmetrical earnings test, the addition of Rider FRP, and targeted modifications to Rider IICR and other recovery mechanisms, including the Additional Capacity Cost Recovery ("ACCR") mechanism described more fully below.
- Austin Finn: addresses the Company's proposed rate structure and design, including cost allocation, the transition to the 2027 FRP, discontinuation of residential decoupling, and implementation of a new Additional Facilities Charge ("AFC") rider.
- Dylan W. D'Ascendis: presents the Company's ROE recommendation, supported by application of the discounted cash flow ("DCF"), risk premium, and capital asset pricing models ("CAPM"), as well as an analysis of capital structure and relative risk.
- Brian Walker: describes the Company's recent and ongoing IT investments, including the SAP Enterprise Resource Planning ("ERP") upgrade and cloud migration, and the operational and customer benefits associated with those investments.

- Samuel S. Kennedy: supports the Company's accounting and ratemaking proposals related to depreciation and cloud computing arrangements, including the 2025 Depreciation Study and proposed treatment of IT implementation costs.
- Vincent M. Sipowicz: addresses Cleco Power's credit ratings and financial metrics, explaining the importance of maintaining investment-grade ratings and the implications of the Company's requested revenue adjustments on its access to capital.

II. BACKGROUND FOR RATE CASE AND CLECO POWER'S FUTURE

As reflected throughout the direct testimony accompanying this application, Cleco Power's filing arises from a meeting of structural, regulatory, and operational changes that are materially affecting the Company's cost structure and system requirements. The Company has undertaken a coordinated series of investments and operational initiatives to maintain reliability and improve performance, including:

- modernization of its enterprise systems through the SAP platform and ongoing migration to cloud-based IT infrastructure;
- continued transmission and distribution investments to strengthen grid resiliency;
- expanded vegetation management and storm preparedness programs; and
- cybersecurity enhancements necessary to protect critical infrastructure in an increasingly complex threat environment.

Cleco Power maintains that these investments are benefiting customers today. For example, Cleco Power's integrated SAP system supports advanced analytics and real-time operational visibility, enabling improved outage response, more efficient maintenance planning, and enhanced customer service capabilities. Additionally, the Company's transition to a modern cloud-based platform provides improved system redundancy and disaster recovery capabilities,

enhancing system resiliency and supporting improved operational performance during major events.

At the same time, Cleco Power is facing increasing regulatory and environmental constraints that directly affect its generation fleet and cost structure. Federal environmental requirements have materially shortened the expected useful life of certain assets, contributing $28.3 million of the $35.7 million increase in depreciation expense identified in the Company's 2025 Depreciation Study. These regulatory-driven changes require the Company to evaluate future resource and capacity needs while continuing to meet its obligation to provide reliable service.

Despite these challenges, Cleco Power continues to take a disciplined approach to cost management and operational efficiency. However, historically low load growth within the Company's service territory limits its ability to offset rising fixed costs through increased sales, further necessitating the rate adjustments and structural reforms proposed in this proceeding.[4]

Taken together, these factors highlight the need for a modernized ratemaking framework that supports continued investment, aligns cost recovery with actual conditions, and provides more predictable outcomes for both customers and the Company. Cleco Power's proposed 2027 FRP is specifically designed to meet these key objectives.

III. DESCRIPTION OF CLECO POWER

Cleco Power is a Louisiana limited liability company, and a wholly-owned subsidiary of Cleco Corporate Holdings LLC, also a Louisiana limited liability company. Cleco Power generates, transmits, and delivers electricity to approximately 298,000 customers located in three,

[4] The forthcoming Data Center Application will describe how the addition of the data center load will provide Cleco Power with the opportunity to spread such costs over a larger usage base.

non-contiguous service territories. Together, these service territories comprise four service districts throughout the State of Louisiana and include part of 24 of the 64 parishes in Louisiana. A significant portion of Cleco Power's service territory is located in the central part of Louisiana, with an additional area located north of New Orleans, commonly referred to as Northlake. Cleco Power is a member of Midcontinent Independent System Operator, Inc. ("MISO"). Cleco Power also owns and operates the following generating units and power stations, either in full ownership or in co-ownership: Nesbitt Unit 1; Rodemacher Unit 2; Madison Unit 3; Acadia Power Station Power Block 1; Coughlin Power Station; Teche Unit 4; and the St. Mary Clean Energy Center.

IV. COMMUNICATIONS

Cleco Power requests that communications concerning this Application be directed to:

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V. THE NEED FOR A BASE RATE INCREASE AND CLECO POWER'S PROPOSED MITIGATION

As reflected in the testimony in this proceeding, Cleco Power's request for updated base rates is driven by cost pressures that have materially increased the Company's cost of providing reliable electric service. These pressures are not the result of discretionary spending, but rather reflect changes in asset lives, regulatory requirements, system resiliency needs, and operating conditions that directly impact the Company's revenue requirement. As Company witness Austin Finn explains, the cost-of-service study in this proceeding confirms not only the level of costs required to provide safe and reliable service, but also how those costs must be fairly assigned among customer classes based on cost causation principles so that resulting rates remain just, reasonable, and not unduly discriminatory.

A significant driver of these increases is the change in expected asset lives reflected in the Company's 2025 Depreciation Study, which identifies an approximately $35.7 million annual increase in depreciation expense. This increase is driven primarily by the reduction in the expected life of Madison Unit 3 to align with federal environmental compliance requirements, accounting for approximately $28.3 million of the increase, as well as updated net salvage assumptions across asset classes. These changes reflect the physical and regulatory realities affecting the Company's generation fleet. Consistent with those findings, Mr. Finn's cost-of-service analysis reflects that LPSC-jurisdictional customers are responsible for approximately $3.6 billion in rate base and approximately $530 million in expenses, which together support the Company's proposed base rate revenue requirement in this proceeding.

In addition, Cleco Power continues to incur substantial storm-related costs due to the increasing frequency and severity of weather events, requiring ongoing investment in system restoration and resiliency and the maintenance of an adequate storm reserve. The Company is also subject to higher property taxes, particularly following the expiration of the industrial tax exemption for Madison 3, which directly increases the fixed cost of maintaining its infrastructure.

Operational costs have also increased as the Company continues to invest in maintaining system reliability and addressing emerging risks. These include expanded vegetation management programs, transmission and distribution system improvements, and increased cybersecurity expenditures necessary to protect critical infrastructure. As noted above, the Company is also undertaking a $31 million SAP system upgrade and migration project, with approximately $3.2 million in associated annual costs, to modernize its enterprise systems and improve operational efficiency, resiliency, and customer service capabilities.

As described in the direct testimony of Company witnesses Christina C. McDowell and D. Andrew Owens, Cleco Power is also seeking recovery of certain executive compensation costs in a manner that is carefully limited and consistent with regulatory precedent; under Cleco Power's proposal only executive compensation tied to operational and non-financial performance metrics (*e.g.*, safety, reliability, and operational effectiveness metrics) is included in the Company's revenue requirement, while incentive compensation linked to financial performance is excluded. This approach ensures that customers are not funding shareholder-oriented incentives, while recognizing that effective executive leadership directly supports operational outcomes that benefit customers. The Company also requests recovery of certain costs associated with modernization of its Pineville General Office, which are necessary to maintain an efficient administrative infrastructure that supports the Company's operations.

These factors are compounded by historically low load growth in the Company's service territory, which limits the ability to spread rising fixed costs across a broader sales base (as noted above, the Data Center Application will describe how the new data center load will provide Cleco Power with an opportunity to spread such costs over a larger usage base). As a result, the Company's current revenues are no longer aligned with its cost structure, necessitating the rate adjustments proposed in this proceeding. Mr. Finn's testimony further demonstrates that these revenue requirement changes must ultimately be translated into customer rates through billing components that appropriately reflect how different classes use the system and cause costs to be incurred.

A. Cost Pressures

As noted, Cleco Power's cost pressures reflect a combination of structural, regulatory, and operational factors that have developed over time and are expected to persist. As described above, the most significant identifiable increase is the $35.7 million annual increase in depreciation expense, which itself reflects both regulatory-driven changes arising from environmental regulations affecting the operation of the Company's generation fleet and the physical realities of the Company's asset base (notably, the age of certain of the Company's generating units).

Storm-related costs remain elevated and unpredictable, requiring ongoing investment in infrastructure and reserve funding to ensure timely system restoration and reliability. These costs are not discretionary and are necessary to maintain service performance under increasingly challenging conditions.

The Company is also experiencing higher operating costs associated with reliability and operational integrity. Investments in vegetation management and system hardening directly reduce outage frequency and duration, while cybersecurity expenditures are essential to protect

critical systems from emerging threats. These are not optional investments; they are integral to maintaining safe and reliable service.

Further, Cleco Power's enterprise IT environment has undergone a significant transformation, requiring ongoing investment. As described in testimony, the Company is transitioning from a legacy version to a modern, cloud-based platform, reducing long-term operational risk but increasing near-term costs. These investments improve system resilience, enhance customer experience, and enable data-driven decision-making.

Finally, increased property taxes and limited load growth exacerbate these pressures by increasing costs while limiting revenue growth. Collectively, these factors create a sustained and material increase in the Company's cost-of-service that must be addressed through updated rates and a modernized regulatory framework.

B. Cleco Power's Proposed Mitigation

Cleco Power's proposal to mitigate these cost increases is to implement a structured and measured approach that moderates the impact on customers while ensuring continued system reliability and financial integrity. The Company's proposed 2027 FRP is central to this mitigation strategy. By incorporating a symmetrical earnings test with a +/- 30 basis point deadband around a 10.70% ROE, the Company ensures that rate adjustments occur only when earnings meaningfully deviate from authorized levels. This avoids unnecessary volatility and ensures that both upward and downward earnings changes are addressed in a balanced manner. That symmetrical framework is consistent with recognized ratemaking principles because it promotes stable and predictable rates while fairly balancing the interests of customers and the Company.

In addition, the combination of Rider IICR and the newly-proposed Rider FRP allows for targeted and incremental recovery of costs when appropriate and subject to the Commission's

oversight. Rider IICR continues to provide for recovery of infrastructure and incremental costs, while Rider FRP introduces annual earnings-based adjustments, including the potential for rate reductions. Importantly, the IICR and FRP adjustments, if warranted, would occur on staggered schedules, July 1 and February 1 respectively, providing a two-step adjustment process each year that smooths rate changes over time.

This approach ensures that cost recovery is aligned with actual performance and Commission-reviewed data, rather than based on projections alone. It allows the Company to respond to changing conditions while avoiding large, abrupt rate adjustments.

At the same time, the proposed framework preserves the Company's ability to maintain its financial integrity, support investment, and protect customers from the long-term impacts of underinvestment or declining credit quality. It represents a disciplined and customer-focused approach to addressing the Company's cost pressures.

VI. CLECO POWER'S OTHER MATERIAL RATEMAKING REQUESTS

A. History of Cleco Power's Current Third Amended and Restated Formula Rate Plan

Cleco Power's current Third Amended and Restated Formula Rate Plan, as approved by the Commission in the 2024 Rate Order, is structured around three successive twelve-month test periods beginning July 1, 2024, and ending June 30, 2027. Under this plan, the Commission approved a target return on equity of 9.70%, together with an asymmetrical earnings sharing mechanism under which no upward rate adjustment is provided if the Company's earnings fall below the authorized return, while earnings above specified thresholds are subject to customer sharing or refund obligations. Specifically, earnings above 10.30% but below 10.90% are shared with customers, with 60% of excess earnings refunded, and earnings above 10.90% are fully refunded to customers. The plan also incorporates a fixed ratemaking capital structure of 52%

equity and 48% debt and requires the Company to file an annual Monitoring Report by October 31 each year, covering the TME the preceding June 30, to allow for Commission and Staff review of earnings and any required adjustments. In addition, the Third Amended and Restated FRP includes Rider IICR, which allows for the recovery of certain Commission-approved infrastructure and incremental costs through rate adjustments effective each July 1, subject to a true-up mechanism based on actual versus projected costs. Together, these elements form the foundation of the current Third Amended and Restated FRP framework under which Cleco Power has been operating and from which the Company's proposed 2027 FRP builds.

B. Proposed 2027 FRP

Cleco Power is requesting that the Commission approve the new 2027 FRP to succeed its current Third Amended and Restated FRP upon its expiration on June 30, 2027. The proposed 2027 FRP builds upon the structure of the Company's current Third Amended and Restated FRP but includes several targeted and important modifications designed to provide a more balanced, transparent, and responsive ratemaking framework for both the Company and its customers. As described in the testimony of Company witnesses Christina C. McDowell and D. Andrew Owens, the proposed 2027 FRP would remain in effect for a four-year term beginning July 1, 2027, and would continue to utilize the historic twelve-month test year ending June 30, with the results reflected in an annual Monitoring Report filed on October 31 of each year.

A central feature of the proposed 2027 FRP is the replacement of the current asymmetrical earnings structure with a symmetrical earnings test centered on a proposed target ROE of 10.70%, together with a +/- 30 basis point deadband. Under the proposed structure, no earnings-based rate change would occur if Cleco Power's earned ROE for the test year falls between 10.40% and 11.00%. If earned ROE falls below 10.40%, the Company would be permitted to implement a

prospective rate adjustment through Rider FRP designed to reset earnings to the lower deadband limit of 10.40%. Conversely, if earned ROE exceeds 11.00%, rates would be reduced prospectively through Rider FRP to reset earnings to the upper deadband limit of 11.00%. This proposed design differs materially from the current Third Amended and Restated FRP, under which the Company receives no relief if earnings fall short of the authorized return, but must refund earnings when earnings exceed the current 10.30% threshold. As Mr. Owens explains, the current structure is asymmetrical and does not provide the Company with a mechanism to timely address downward changes in revenues or upward changes in costs.

The practical operation of the proposed earnings test illustrates how the 2027 FRP would benefit both Cleco Power and its customers. For example, if the Company's earned ROE for a given TME June 30 period were 10.25%, which is below the proposed lower deadband limit of 10.40%, the Company would file its Monitoring Report on October 31, Commission Staff and intervenors would have an established review period, and Rider FRP would be adjusted effective with the February billing cycle to increase rates only to the point necessary to restore earnings to 10.40%, not to the full 10.70% midpoint. Likewise, if the Company's earned ROE were 11.25%, rates would be adjusted downward only to the point necessary to bring earnings back to 11.00%, with the excess above that level flowed back to customers. If earnings instead fell within the 10.40% to 11.00% range, no change would occur at all. This structure provides customers with meaningful protection against overearnings while also reducing the risk that the Company will materially under-earn for extended periods without any opportunity for timely correction.

The proposed 2027 FRP also introduces a new Rider FRP rate schedule, which would operate in parallel with the existing Rider IICR. As explained by Mr. Owens, Rider FRP would be used to implement annual earnings-based changes effective each February 1, while Rider IICR

would continue to update certain infrastructure and incremental cost recovery items effective each July 1. This staggered schedule creates two discrete and predictable adjustment periods each year and provides a practical mechanism for aligning revenue recovery more closely with actual financial performance and cost development. It also avoids the need to defer all changes to one annual rate event, thereby reducing the risk of larger, more abrupt adjustments. The actual design of Rider FRP will use a percentage-based methodology applied across the Company's FRP Base Rate Revenue components (as defined in Mr. Finn's direct testimony) so that FRP changes are reflected proportionally across the base rate charges customers already see on their bills, rather than through a wholly separate and potentially more confusing rate design. Mr. Owens further notes that this percentage-based methodology is consistent with prior LPSC-approved percentage adjustments and with the treatment afforded to Entergy Louisiana, LLC's Formula Rate Plan Rider.

Another important enhancement in the proposed 2027 FRP is the addition of a defined Additional Capacity Cost Recovery, or ACCR, mechanism through Rider FRP. As discussed by both Mr. Owens and Mr. Finn, this provision is intended to allow timely recovery of the revenue requirement associated with new or modified supply-side resources, including utility-owned generation, acquired resources, or purchased capacity under a power purchase agreement ("PPA"), when such resources are needed to serve customers and receive Commission approval. Under the proposed structure, costs associated with qualifying additional capacity would initially be recovered through Rider FRP on an interim basis, initially implemented outside the standard earnings test mechanism, and then would be realigned at the next regularly-scheduled FRP reset and thereafter become subject to the normal earnings test structure. This is a concrete improvement

over the existing framework because it provides a specific, transparent mechanism to address capacity-related costs that are driven by planning and reliability needs.

The 2027 FRP also improves ratemaking clarity by refining the treatment of costs recovered through Rider IICR. As Ms. McDowell explains, the Company proposes to continue using Rider IICR to recover significant and specifically-identified categories of costs, including MISO transmission expenses, right-of-way clearing costs, Dolet Hills Solar PPA costs authorized pursuant to LPSC Order No. U-36502, issued October 8, 2024, production operations and maintenance ("O&M") expense deferrals, MISO administrative costs, property tax increases associated with ITEP roll-off, regulatory expenses associated with this proceeding, the EDIT Make-Whole Credit, and interest earned on the Dolet Hills restricted cash reserve established pursuant to LPSC Order No. U-37213, issued November 27, 2024. For the TME June 30, 2028 period, Ms. McDowell identifies a total requested Rider IICR revenue requirement of $62.9 million, representing a slight reduction from the amount currently reflected in Rider IICR. The continuation of these items in Rider IICR, subject to annual true-up and review, promotes transparency by keeping them outside of base rates and allowing year-over-year scrutiny of actual cost levels.

The proposed 2027 FRP further simplifies the Company's rate structure by eliminating the existing residential decoupling pilot, which has run its 2-year term. As Mr. Finn explains, that pilot was authorized on a short-term basis in the 2024 Rate Order and was intended to address erosion of residential base revenues in a framework that otherwise did not provide for annual upward adjustments when sales declined. Under the proposed 2027 FRP, however, the Company believes that continuation of the residential decoupling pilot is no longer necessary because the new symmetrical earnings test and annual reset mechanism provide a broader and more effective

way to address changes in sales and costs over time. Mr. Finn further explains that continuing the residential decoupling pilot would introduce significant, unnecessary complexity into the Company's proposed Monitoring Report and FRP calculations and would create additional administrative burdens for both the Company and the Commission.

From a ratemaking perspective, the proposed 2027 FRP offers concrete benefits to both customers and the Company. As Mr. Finn explains, the framework is grounded in recognized ratemaking principles, including the need for adequate, stable, and predictable revenues and rates, cost, efficiency, and equity considerations, and practical administrability. The symmetrical deadband and implementation of Rider FRP reduces unnecessary rate changes while still allowing rates to be adjusted when earnings materially diverge from authorized levels. The 2027 FRP framework protects customers from sustained overearnings while providing the Company a fair opportunity to address under-earnings caused by increased costs or reduced sales. At the same time, the separate treatment of Rider FRP and Rider IICR improves transparency by clearly delineating earnings-based changes from infrastructure and incremental cost recovery.

Collectively, these modifications create a more predictable and responsive ratemaking structure than the Company's current Third Amended and Restated FRP. The proposed 2027 FRP helps address regulatory lag, improves the alignment between costs and revenues, preserves Commission oversight through annual Monitoring Reports and review periods, and provides a disciplined framework for prospective adjustments rather than retroactive corrections. For Cleco Power, it supports timely cost recovery, maintenance of financial integrity, and continued access to capital. For customers, it reduces the likelihood of large, infrequent base rate changes, promotes transparency, and ensures that rate adjustments, whether upward or downward, occur under a clearly defined and Commission-supervised process.

1. ROE

As described in the Direct Testimony of Company witness Dylan W. D'Ascendis, Cleco Power is requesting that the Commission authorize a target ROE of 10.70%. This recommendation is based on Mr. D'Ascendis's independent analysis of the Company's cost of capital and is applied to a proposed capital structure consisting of 52% common equity and 48% long-term debt, resulting in an overall after-tax weighted average cost of capital of approximately 8.38%. Mr. D'Ascendis concludes that this ROE is necessary to ensure that Cleco Power has the opportunity to earn a fair return that is commensurate with investments of comparable risk, maintain the Company's financial integrity, and attract capital on reasonable terms consistent with established regulatory standards.

Mr. D'Ascendis's recommendation is derived from the application of multiple market-based cost of equity models, including the DCF model, the risk premium model, and the CAPM, applied to a proxy group of regulated electric utilities as well as a group of comparable-risk, non-price-regulated companies. These analyses produce a range of indicated ROEs, which are then adjusted to reflect company-specific risk characteristics, including relative size and credit risk. Based on this analysis, Mr. D'Ascendis determined that a 10.70% ROE falls within the low end of the adjusted range of reasonable returns and appropriately balances investor expectations with Cleco Power's risk profile. He further concludes that this level of return is consistent with the requirements of the *Hope*[5] and *Bluefield*[6] standards, as it supports the Company's continued access to capital markets and its ability to finance necessary investments in infrastructure and system reliability.

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[5] *Federal Power Comm'n v. Hope Natural Gas Co.*, 320 U.S. 591 (1944).
[6] *Bluefield Water Works Improvement Co. v. Public Serv. Comm'n*, 262 U.S. 679 (1923).

2. Credit Ratings and Proposed Capital Structure

As described in the Direct Testimony of Company witness Vincent M. Sipowicz, Cleco Power is currently rated by S&P Global Ratings, Moody's Investors Service, and Fitch Ratings, with each agency assigning ratings within the investment-grade category. Specifically, the Company's senior unsecured issuance ratings are A- (S&P), A3 (Moody's), and A- (Fitch), each with a stable outlook. These ratings are an important indicator of the Company's ability to meet its financial obligations and directly influence the interest rates at which Cleco Power is able to access capital. Maintaining investment-grade credit ratings is therefore critical, as higher ratings generally allow the Company to borrow at lower cost, which in turn benefits customers through reduced financing costs embedded in rates.

As further explained in Mr. Sipowicz's testimony, rating agencies have identified several key strengths in Cleco Power's credit profile, including a supportive regulatory framework in Louisiana, the presence of formula rate mechanisms that provide for timely cost recovery, and structural protections such as ring-fencing provisions. At the same time, the agencies have noted certain challenges, including the Company's relatively small and geographically-concentrated customer base and its exposure to severe weather risks. Credit ratings agencies have also made clear that deterioration in the Company's financial metrics or a shift in the regulatory environment to one perceived as less supportive could lead to a downgrade. For example, Moody's has indicated that maintaining a cash flow from operations-to-debt ratio above 20% is important to sustaining current ratings levels.

Cleco Power's financial metrics currently remain above these downgrade thresholds, with a Moody's cash flow from operations-to-debt ratio of approximately 25% for the year ended December 31, 2025. However, as Mr. Sipowicz explains, a reduction in projected revenues, such

as could result from denial or material reduction of the requested rate relief, would negatively affect these metrics and could lead to credit rating pressure. A downgrade would likely increase the Company's cost of debt and overall cost of capital, which would ultimately be borne by customers. Accordingly, maintaining a stable and supportive regulatory framework in this proceeding is critical to preserving Cleco Power's financial strength, ensuring continued access to capital at reasonable terms, and supporting the Company's ongoing ability to provide safe and reliable electric service.

C. Residential Rate Decoupling

As described above and in Mr. Finn's testimony in this proceeding, Cleco Power is not seeking to continue its existing residential revenue decoupling pilot, which was authorized for a 2-year evaluation period. The Company's current decoupling approach was implemented as a pilot program, but Cleco Power is requesting that this pilot be discontinued. Specifically, as discussed by Company witness Austin Finn and referenced in related testimony, the Company proposes to eliminate the provisions associated with residential decoupling, including the deletion of the existing paragraph governing that mechanism in conjunction with its 2027 FRP. This change reflects the Company's view that the proposed 2027 FRP framework, particularly the introduction of a symmetrical earnings test, defined deadband, and annual rate adjustment mechanisms, provides a more comprehensive and balanced approach to addressing revenue variability and regulatory lag. By relying on these broader structural features, the Company believes that residential decoupling is no longer warranted and that its removal is necessary to ensure the new symmetrical FRP framework properly operates while maintaining appropriate alignment between revenues, costs, and actual performance.

D. Rate Structure Changes

As reflected in the testimony in this proceeding, Cleco Power's proposed rate-related changes are primarily focused on enhancing the structure and transparency of its overall ratemaking framework rather than implementing significant modifications to customer-facing tariff design. In particular, the Company's proposal emphasizes the continued use and refinement of rider mechanisms and formula-based adjustments to better align cost recovery with underlying cost drivers. These changes include updates to the treatment of costs recovered through Rider IICR, as well as the introduction of the new Rider FRP to facilitate annual earnings-based rate adjustments separate from infrastructure-related cost recovery. In addition, Mr. Finn's testimony supports several concrete rate structure proposals and a new Additional Facilities Charge Rider ("Rider AFC") to provide a transparent and standardized process for recovering the costs of additional facilities constructed for certain new customers, thereby ensuring that those customer-specific costs are not shifted to the Company's broader customer base.

Collectively, these changes are intended to improve the clarity, predictability, and responsiveness of the Company's ratemaking framework while maintaining appropriate Commission oversight and ensuring that rates reflect the Company's actual cost of providing service.

VII. REQUEST FOR TIMELY TREATMENT

Cleco Power is requesting that the Commission render a full decision on this Application within twelve months after its effective filing date, as provided in Louisiana Constitution Article 4, § 21 and La. R.S. 45:1163.1. Among other things, timely treatment would obviate the need for Cleco Power to file a protective bond or other security, were a full decision not so granted, in order to make effective the rate schedules proposed herein, subject to bond and refund, without the

Commission's prior authorization. Timely treatment would further minimize the adverse effects of regulatory lag upon Cleco Power.

VIII. CLECO POWER'S REQUESTS TO THE COMMISSION

In conclusion, the Company views this rate case as a necessary step to ensure that it can continue to provide safe, reliable, and efficient electric service in a period of increasing operational complexity and evolving regulatory requirements. As reflected in the testimony in this proceeding, Cleco Power has made, and will continue to make, significant investments in system reliability, transmission and distribution infrastructure, enterprise information technology modernization, and cybersecurity, while also addressing regulatory-driven changes affecting its generation fleet, including shortened asset lives and associated increases in depreciation expense. The Company's proposed 2027 FRP provides a balanced framework that incorporates a symmetrical earnings test, defined adjustment timelines, and complementary Rider FRP and Rider IICR mechanisms to align cost recovery with actual operating conditions and reduce the potential for abrupt rate changes. At the same time, the Company's proposal reflects a measured approach to implementing rate adjustments, balancing customer affordability with the need to maintain financial integrity, preserve investment-grade credit ratings, and support continued access to capital markets.

WHEREFORE, for the foregoing reasons, and as more fully described in the testimony and exhibits submitted in this proceeding, Cleco Power respectfully requests that the Commission act expeditiously in granting the requested relief. More specifically, Cleco Power requests that the Commission authorize and approve the following:

(i) establishment of new base rates based on the revenue requirement supported in this proceeding;

(ii) approval and implementation of the proposed 2027 FRP, including the symmetrical earnings test and annual Monitoring Report process;

(iii) authorization of Rider FRP as a mechanism for earnings-based rate adjustments and continued authorization of Rider IICR for recovery of specified infrastructure and incremental costs;

(iv) approval of updated depreciation rates and related accounting treatments reflecting current asset lives and cost allocations;

(v) acceptance of the Company's proposed ratemaking treatment of cloud computing arrangements and other cost recovery mechanisms;

(vi) authorization of the Company's proposed capital structure and return on equity;

(vii) authorization for recovery of prudently-incurred costs associated with executive compensation limited to operational, non-financial performance metrics and certain costs associated with the modernization of the Company's Pineville General Office facilities;

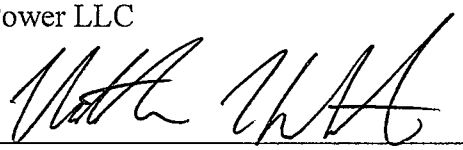
(viii) authorization of all proposed revised rate schedules and riders attached to this application;

(ix) that the Commission's order in this proceeding be effective upon issuance; and

(x) any and all additional relief necessary to implement Cleco Power's proposals and to ensure just and reasonable rates for its customers.

Respectfully submitted,

Cleco Power LLC



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Exhibits

1. Direct Testimony of William Fontenot
2. Direct Testimony of D. Andrew Owens
3. Direct Testimony of Austin Finn
4. Direct Testimony of Christina C. McDowell
5. Direct Testimony of Vincent M. Sipowicz
6. Direct Testimony of Samuel S. Kennedy
7. Direct Testimony of Brian Walker
8. Direct Testimony of Dylan W. D'Ascendis